

Australia Chair Daily Brief

AUSTRALIA · NEW ZEALAND · THE PACIFIC ISLANDS

Friday, September 4, 2026

RE: PIF communique rebukes China missile test, Nauru dissents · New Zealand joins Forum Troika, to host 2027 Leaders Meeting · Solomon Islands PM Wale reshuffles cabinet ahead of no-confidence vote · PNG parliament could vote on Bougainville independence next month · ASX 200 down 0.95 percent

ASX 200 **9,006** -0.95% AUD/USD **0.7203** +0.56% NZX 50 **13,974** +1.50% NZD/USD **0.5880** -0.68%

BRENT **95.34** +5.36%

TODAY AT A GLANCE

- 1 Pacific Islands Forum leaders folded criticism of China's July intercontinental ballistic missile test into the communique closing the 55th Leaders Meeting in Koror, demanding at least 24 hours' notice of future tests, with Nauru dissenting and Kiribati skipping the final retreat.
- 2 New Zealand joined the Pacific Islands Forum Troika for the first time in more than a decade, Prime Minister Christopher Luxon said, ahead of hosting the Leaders Meeting in Auckland in 2027.
- 3 Solomon Islands Prime Minister Matthew Wale swore in three replacement ministers on Friday as he heads into a no-confidence vote next week, a contest the Sydney Morning Herald says Beijing would welcome him losing.

TOP STORIES

US-CHINA-PACIFIC

Pacific summit backs concerns over China missile test despite Nauru dissent

Pacific Islands Forum leaders closed their 55th Leaders Meeting in Koror with a communique registering concern over China's July intercontinental ballistic missile test, which the text says overflowed several members without adequate notice. Leaders called on all states conducting such tests to give at least 24 hours' advance notification. Palau President Surangel Whipps Jr, who read the statement, noted that Nauru had dissented, and Kiribati did not join the final leaders' retreat.

So what: The compromise language, folded into the communique rather than issued as a stand-alone statement, sets the baseline for how the Forum frames military transparency demands on Beijing going forward.

Pattern: An earlier attempt at a stand-alone statement on the test was blocked by Nauru and Kiribati at the Forum meeting reported on August 25, 2026.

per Reuters: "Pacific summit backs concerns over China missile test despite Nauru dissent" · also RNZ Pacific (wire): "Pacific Islands Forum winds up by rebuking China nuclear test" · also The Economist

PACIFIC-POLITICS

Wale swears in three ministers ahead of no-confidence vote

Solomon Islands Prime Minister Matthew Wale swore in three replacement ministers at Government House on Friday, an Office of the Prime Minister and Cabinet statement said. Nestor Ghire replaces Franklyn Wasi as Minister for Agriculture and Livestock, and Harry Kuma returns to the Commerce, Industry, Labour and Immigration portfolio he resigned from earlier in the week. Wale faces a no-confidence motion next week as leader of the GREAT coalition government.

So what: The vote decides whether the Solomon Islands leader the *Sydney Morning Herald* calls one of Anthony Albanese's closest Pacific allies keeps office, at a moment Beijing would count as a win.

Pattern: Wale sacked Finance Minister Gordon Darcy Lilo on September 3, 2026 as the no-confidence push took shape.

per ABC Pacific: "PM Wale mekem change long cabinet" · also SMH Federal Politics (Matthew Knott): "China suffered Pacific setbacks this week. Next week it could be celebrating"

OVERNIGHT

PACIFIC-POLITICS · ABC PACIFIC

PNG parliament could vote on Bougainville independence next month

Papua New Guinea's parliament could vote as soon as next month on whether to grant the autonomous region of Bougainville independence, after the results of the 2019 referendum were tabled last week. Opinion in Port Moresby is divided, with one resident telling the ABC, "We are one Papua New Guinea," and warning other provinces would seek autonomy in turn.

AU-FOREIGN-POLICY · ABC PACIFIC

Greenpeace says PIF climate text repeats old language on Australia

Greenpeace Pacific head Shiva Gounden said the Forum's final climate text used language "very similar to previous iterations," faulting members for not calling out Australia's fossil fuel expansion, including a recent coal project extension. The criticism came as a UN Environment Programme report warned the world will pass 1.5 degrees of warming within the next few years.

PACIFIC-DIPLOMACY · ABC POLITICS

Smaller Pacific states warn against confusing friendship with dependence

Smaller Pacific Islands Forum members used sideline discussions in Koror to caution larger partners against treating development assistance as leverage, ABC Radio National reported, as competing offers of finance and security cooperation from Australia, the United States and China accumulate across the region.

PACIFIC-DIPLOMACY · ISLANDS BUSINESS

Pacific leaders commit to eye health ahead of first global summit

Pacific health ministers meeting on the sidelines of the 55th PIF Leaders Meeting in Palau committed to coordinated action on eye health ahead of the first Global Summit on the issue, Islands Business reported.

PACIFIC WIRE

REGIONAL · WASHINGTON POST

Pacific nations seek to turn geopolitics into climate funding

The Washington Post reported that Pacific Islands Forum members used the strategic rivalry between the United States and China as leverage to press wealthy nations for climate finance during the 55th Leaders Meeting in Koror.

TONGA · ISLANDS BUSINESS

US funds feasibility study to move Tonga's data to secure cloud

The US State Department is funding a technical feasibility study, carried out by CyberCX USA Inc., to migrate Tonga's critical government data into secure, trusted cloud environments, Islands Business reported. The study will outline strategic options for data centre modernisation and network upgrades.

COOK ISLANDS · ISLANDS BUSINESS

Pacific health leaders commit to resilient systems in Rarotonga

Pacific health leaders concluded the 17th Pacific Heads of Health Meeting in Rarotonga, Cook Islands, reaffirming commitment to resilient, equitable health systems grounded in Pacific priorities and government leadership, Islands Business reported.

FIJI · ISLANDS BUSINESS

Fiji and UAE to explore new trade and investment ties

Fiji will welcome UAE Minister of State for Foreign Affairs Noura bint Mohammed Al Kaabi this week, with discussions expected to focus on trade and investment, climate change, renewable energy, education and development cooperation, Islands Business reported.

SOLOMON ISLANDS · ISLANDS BUSINESS

Japan reaffirms support for Solomon Islands development priorities

Japan's State Minister for Foreign Affairs Iwao Horii said Tokyo remains committed to supporting Solomon Islands' development priorities, Islands Business reported, with aviation cooperation among the areas discussed.

REGIONAL · ISLANDS BUSINESS

Forum panel says security declarations need political will to act

Panellists at a Forum side event in Palau said the Pacific has no shortage of security declarations, but turning them into action will require sustained political will, stronger regional coordination and a people-centred approach, Islands Business reported.

SAMOA · ISLANDS BUSINESS

Australia, Samoa partner on workplace safety and inclusion

Australia and Samoa launched a partnership to strengthen workplace safety and inclusion, Islands Business reported, citing the principle that "access to training alone is not enough" to protect workers.

NEW ZEALAND

NZ-FOREIGN-POLICY · BEEHIVE (NZ GOVT)

New Zealand joins Pacific Islands Forum Troika

New Zealand has joined the Pacific Islands Forum Troika, working alongside chair Palau and outgoing chair Solomon Islands to provide political oversight on regional priorities. "New Zealand's place on the Forum Troika puts us at the centre of regional decision-making for the first time in more than a decade," Prime Minister Christopher Luxon said, ahead of New Zealand hosting the Leaders Meeting in Auckland in 2027.

CANBERRA POLITICS

AU-POLITICS · ABC POLITICS

Government blocks graduate diploma used to prolong student visas

The federal government blocked new enrolments in a graduate diploma it says was being used by non-genuine international students to extend their stay, invoking new course-cancellation powers for the first time. Assistant Minister for International Education Julian Hill said the move would protect Australia's status as a "trusted global education destination" and prevent visa system misuse.

BUSINESS AND ECONOMY

TRADE-ECONOMY · WSJ

Australia's second-quarter growth stronger than expected

Australia's economy grew faster than expected in the second quarter, the Wall Street Journal reported. Markets closed lower on the day: the ASX 200 fell 0.95 percent to 9,006, while the Australian dollar rose 0.56 percent to 0.7203 against the US dollar.

TRADE-ECONOMY · BLOOMBERG

New Zealand home prices hit three-year low

New Zealand home prices fell to a three-year low, Bloomberg reported, a decline it said risks undermining the country's broader economic recovery. The NZX 50 rose 1.50 percent to 13,974 on the day, while the New Zealand dollar slipped 0.68 percent to 0.5880.

TRADE-ECONOMY · AFR

Macquarie CEO warns sovereign wealth funds are shunning Australia

Macquarie chief executive Shemara Wikramanayake said sovereign wealth funds are shunning Australia, warning the country needs a more entrepreneurial mindset as rival markets compete harder for global capital, the Australian Financial Review reported.

TRADE-ECONOMY · AFR

Inside the Chinese factory retooling Australian mining

Engineers at XCMG, the Chinese state-owned machinery group, have teamed with Fortescue Metals to replace the Australian miner's diesel-powered equipment fleet, the Australian Financial Review reported. The partnership underscores how deeply Chinese equipment remains embedded in Australia's resources sector even as Canberra tightens screening of Chinese investment elsewhere.

AU-FOREIGN-POLICY · THE AUSTRALIAN

Chinese port deals evade foreign investment scrutiny

Chinese purchases of portside property in Australia have evaded scrutiny under the foreign investment screening regime, The Australian reported, without detailing which transactions or their scale.

PRIMARY DOCUMENTS

READOUT · FIJI SUN

Rabuka, Marape to lead Pacific mission on West Papua human rights

Fiji Sun reported that Fiji's Rabuka and Papua New Guinea's Marape will lead a Pacific mission on West Papua human rights, following discussion of the issue at the Forum meeting in Koror.

CALENDAR WATCH

7 Nov 2026

New Zealand general election

Determines whether the National-ACT-NZ First coalition continues its current defence and foreign policy settings.

expected next
week 2026

Solomon Islands no-confidence vote against Prime Minister Matthew Wale

Outcome determines whether one of Australia's closest Pacific allies remains in office amid renewed China-Pacific competition.

expected in 2027

Pacific Islands Forum Leaders Meeting hosted by New Zealand in Auckland

First Forum hosting by New Zealand in over a decade, following its new seat on the Forum Troika.

expected next
month 2026

Papua New Guinea parliament vote on Bougainville independence

Outcome determines whether Bougainville proceeds toward independence following the 2019 referendum result tabled last week.

ALSO TODAY

DEVPOLICY BLOG

Concentric constitutionalism: environmental law in PNG

PNG National and Supreme Court judge Vergil Los Narokobi argued against following the global shift toward granting legal personhood to nature, proposing instead a "concentric constitutionalism" that places individual, family, village, environment and state in interconnected balance under PNG's Constitution and the Melanesian Way.

LOWY INTERPRETER

The economics of economic security

Comparative advantage cannot explain why Australia's largest aluminium smelter is worth saving, the Lowy Interpreter argued, contending that geoeconomic reasoning, not classical trade theory, now drives decisions to prop up strategically sensitive industries.

ASPI STRATEGIST

The rising sophistication of Southeast Asia's scam factories

Southeast Asia has become the world's largest manufacturing hub for financial fraud, the ASPI Strategist wrote, warning that scam operations based in Cambodia, Myanmar, Laos and the Philippines are no longer a distant problem for Australians.

ABC POLITICS

The Alliance: does the US value Australia?

ABC's Global Roaming series closed its examination of the ANZUS alliance with former Trump White House communications director Anthony Scaramucci discussing how Washington views its allies and whether Canberra can rely on the alliance under an unpredictable administration.

ABC POLITICS

The Diplomats: Jane Hardy on a career in Australian foreign policy

ABC's The Diplomats podcast featured former Australian ambassador Jane Hardy, who served postings across Europe, the United States and the Indo-Pacific, reflecting on lessons from a career spanning more than thirty years in Australian foreign policy.